

find a buyer prepared to proceed on a hostile basis. Blasius's memo also noted that "[Icahn] repeated that this was not an attempt to accomplish, or the beginning of a buy-out—that they felt the stock was undervalued at approximately \$8 and had good growth potential. He also indicated that we should not be worried if a [13D] were filed as it would not be intended as the beginning of a takeover attempt."¹⁴

Icahn stepped up his attempts to find a buyer for Tappan, but without success. He also continued buying Tappan stock. By late November 1978 Icahn's position was big enough that he was required to file a 13D with the SEC, and Wall Street finally got the news that Tappan was "in play." The stock surged and, in January 1979, Icahn let Blasius know that if the shares were to rise two or three more dollars he would be a seller. He also teased Blasius that an anonymous strategic acquirer had approached him to buy him out for between \$15 and \$17 per share. He reminded Blasius that Sullivan stood ready to serve as a "white knight," a friendly acquirer who might retain existing management. Icahn viewed his shareholding as being large enough to qualify him for a tenth seat on the board to be created just for him, and said as much to Blasius. Blasius rejected the request out of hand. In Blasius's memo to the board, he noted:¹⁵

I explained that our board was limited to nine members with only two being representatives of management and that the number had been fixed by the board either last year or the year before. I also gave him an outline of the board strength that I felt was represented and that I really believe we have an efficient board match—independent, very capable and doing a good job and that I, personally, saw no need or desire to add a tenth member.

The company, now fully apprehending the threat Icahn presented, moved to issue preferred stock in an effort to block any hostile interest. Icahn found out about the move along with the other shareholders. Said Kingsley, "We first learned of the serially preferred tactic through a proxy statement that came in the mail. As soon as I saw it I said, 'If we're going to do something, Carl, we had better do it now.'"¹⁶ The risk, as Kingsley saw it, was that the preferred stock could be used to derail any hostile tender offer. If Icahn couldn't use his major shareholding as a catalyst to sell the company, much of his influence would be gone.

Icahn responded by launching a media campaign to defeat the preferred stock issue and have Tappan sold at full value. In the face of Icahn's towering indignation, the board folded almost immediately, agreeing to withdraw its proposal for the issue. Icahn pressed on regardless. In an April 1979 letter to Tappan shareholders he argued for a seat on